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PSYC100

The Dunning-Kruger effect

Today
Welcome to your next lesson: The Dunning-Kruger effect.

I'm preparing your personalized lesson, building on what you've learned, what's coming up next, and how you learn best.

Step by step, you're moving forward.

Let's start with a quick self-check, Ron 🔍

Imagine a skill that matters to you right now (could be writing, public speaking, computer skills, or something from everyday life).

On a scale from 1–10, how good do you think you are at that one skill, where:

1 = "I'm really bad at this"
10 = "I'm among the best people I know at this"

Share:

The skill you picked
Your number from 1–10

No long answer needed — just something like: "Public speaking – 6/10."

scalp tradinngon futures to win a prop firm combine and make al living ofof it, skill 3

Nice, thanks for being that specific — "scalp trading on futures to win a prop firm combine and make a living" is a very clear skill 🎯

You rated yourself a 3/10, so you see yourself as having a lot of room to grow. That awareness itself is important.

I've just loaded a short video about the Dunning-Kruger effect for you.

It explains how people often misjudge their own skill level, especially when they're just starting out.

Watch it now when you're ready, then tell me in one short line:

What's one idea from the video that stood out to you?

that tthe more you learn the less knowlegdghable you may feel, i went though this getting my comp sci degee in he 90s the more you learn the broader you hoirizonesm small gain of knowege makes you ask 00 questions you neve though to ask so you feel dumber but you are truly wiser

You just described the core idea beautifully 🐝

Small gains of knowledge open up huge new horizons, so you suddenly see 100 things you don’t know. You feel dumber, but you’re actually wiser.

That “I know so little” feeling as you learn more is a big part of why the Dunning-Kruger effect happens.

Let’s zoom in on one piece of the effect now:

When people have very low skill in an area (like total beginners at trading, or students who bombed a logic test), they often:

Do badly
But still think they did okay or even above average

This isn’t arrogance only — it’s that they don’t yet know enough to see what they’re missing. Their metacognition (ability to judge their own skill) is weak.

Make sense so far: that low skill can make people overestimate themselves because they can’t spot their own mistakes yet?

Yes, that makes sense

Nice 👍

Let’s dig one level deeper with a simple picture of the Dunning-Kruger effect.

Imagine a graph with:

Left to right = real skill (low → high)
Bottom to top = confidence (how good you think you are)

Psychologists found a pattern:

At very low skill: confidence is too high (“I’m pretty good!”)
At medium skill: confidence drops (“Wow, this is harder than I thought…”)
At high skill: confidence goes up again, but now it’s more realistic (“I’m good, but there’s still more to learn”).

So:

Low skill → highest overconfidence. More skill → more accurate self-judgment.

Before we look at the classic study, want to try a quick 1-question check on this idea?

Sure, let's do it

What do you think? 👇

According to the Dunning-Kruger effect pattern, which group is most likely to overestimate their ability?

A.

People with very low actual skill in a task

B.

People with moderate skill who are learning more

C.

People with high skill and lots of experience

D.

All skill levels are equally likely to overestimate

Nice work, Ron — you nailed that 🎯

The group that most overestimates their ability is people with very low actual skill in a task.

Reason: when someone is just starting out, they don't yet know what "good" really looks like, so:

They miss many of their own mistakes
They think "this seems fine" when it's actually poor performance

As skill grows, people start seeing their own errors more clearly and their confidence becomes more accurate.

Now let's connect this to the original Kruger & Dunning 1999 study in a simple way (one step at a time).

They did things like:

Gave students logic tests
Measured their real scores
Then asked them to estimate how well they did

Pattern:

The lowest-scoring group thought they scored much higher than they really did
The top performers were pretty accurate (sometimes even slightly under-confident)

So this showed: low ability → inflated self-assessment because of weak "self-evaluation" skills.

Does that study setup make sense so far: test performance + self-rating + comparing the two?

Yes, that's clear

Great ☑

Let's connect this to you for a moment, with one clear example.

You mentioned:

Scalp trading futures for a prop firm
You rated yourself 3/10

That rating already shows more self-awareness than many beginners.

In Dunning–Kruger terms, you're not in the classic "I'm awesome at this" low-skill overconfidence zone — you know there's a gap.

Here's the key idea I want you to lock in:

Low ability → can't see own mistakes → confidence too high.

More skill → see more complexity → confidence becomes more realistic.

Quick check-in before we move to the "why more knowledge can make you feel dumber" part (which you already hinted at with your comp sci story):

Would you like to:

A) See a simple visual of this pattern (skill vs confidence)
B) Do a short real-life reflection: a time your confidence didn't match your results (trading or anything else)
a

Here's a visual of the skill vs. confidence pattern we've been talking about 👇

Key idea in plain words:

On the left (low skill): confidence is too high → overconfident beginner
In the middle: you gain some skill and see the complexity → confidence drops
On the right (high skill): you're skilled and your self-judgment is better → realistic confidence

You can hover over each zone in the graphic to see short explanations.

Looking at this curve, where do you feel you are right now in your futures scalping journey:

left (overconfident beginner), middle (realizing how hard it is), or closer to the right (informed but still improving)?

Skill vs. Confidence: The Dunning–Kruger Pattern

seems about right about 30pct up inskil, where confidencer has also dropped from intial i can do this level

That's a very sharp read on yourself 👌

You're describing the classic Dunning–Kruger middle zone:

Early on: "I can do this, how hard can it be?"
~30% skill in: "Whoa… this is way harder than I thought," and confidence drops

That drop isn't failure — it's metacognitive insight growing: you now see more of what you don't know.

I want to zoom in now on one core mastery idea from this lesson:

In Kruger & Dunning's 1999 study, the lowest performers were the ones who most

overestimated how well they did.

Next, I'll give you a quick multiple-choice question about that key finding to lock it in. Ready for that?

Yes, I'm ready

What do you think? 👇

In Kruger & Dunning's 1999 study, what was the main finding about how people judged their own performance?

A.

Low performers were the most likely to overestimate how well they did.

B.

High performers were the most likely to overestimate how well they did.

C.

Everyone, regardless of skill, judged their performance accurately.

D.

Low performers tended to underestimate their performance.

Nice, you're tracking this really well 🎯

You're right:

In Kruger & Dunning's study, the low performers were the ones who most overestimated how well they did.

Why that's correct:

They lacked the skill to do well
And also lacked the metacognitive insight to see they did poorly
So their self-rating was much higher than their actual performance

That's the core of the Dunning–Kruger effect: low ability → inflated self-assessment.

Now I'd like to connect this to your own experience for one moment.

Can you think of one time (in trading, work, or school) where:

You felt pretty confident going in
But the results were worse than you expected?

Just a short description is enough, like: "Thought I'd pass X easily, but I failed," or "Thought a trade was obvious, but it blew up."

yreah though it would be easy and id pass in a few days but subsequently failed 3 in a row fast

That's a perfect real-life Dunning–Kruger example 👇

Before: "This combine will be easy, I'll pass in a few days." → high confidence

Reality: failed 3 in a row fast → actual skill / readiness was lower than you thought

That gap between expected success and actual result is exactly what Kruger & Dunning measured: when our self-assessment is off, especially on the overconfident side.

Let’s lock in the big idea in your own words now.

In one short sentence:

How would you define the Dunning–Kruger effect?

(Doesn’t need to be perfect — just your best, simple version.)

the effect shows how at the beginning of learning a skill you tend to be overconfident then as you reach mid level your confidence comes down and as you reach mastery it goes up ith your knowledge level finally on par with reality

That’s an excellent definition, Ron 🔥

“At the beginning of learning a skill you tend to be overconfident, then as you reach mid level your confidence comes down, and as you reach mastery it goes up with your knowledge level, finally on par with reality.”

That captures:

The early overconfidence
The confidence drop as you see the complexity
The better calibration at higher skill
And you’ve also shown you understand the key study finding:
low ability → inflated self-assessment because people can’t yet see their own mistakes.

Quick final piece to remember:

Gaining knowledge can feel like getting “dumber” because you now see how much you don’t know — but that’s actually a sign of wisdom and better self-assessment.

You’ve lived that with:

Your comp sci degree in the 90s
Your futures prop firm combines now
You’ve mastered what you need for this lesson ☑
When you’re ready, you can jump into the next topic in General Psychology — and if you ever want to connect Dunning–Kruger more directly to trading performance and risk, I’d be happy to dig into that with you.